

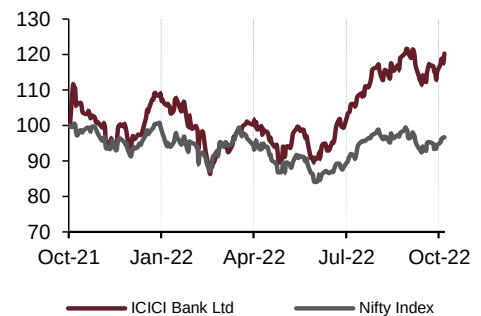
ICICI Bank posted good results – PAT came in at INR 75.6 bn, up by 37.1% yoy and 9.5% qoq led by strong core income and stable asset quality profile. NII surged by 26.5% yoy to INR 147.9 bn led by continued higher growth in advances and all time margins. Advances growth was strong, however, we saw more stronger growth in unsecured lending pieces like personal loans & credit cards. Margins touched all time high levels of 4.3% levels led by increase in lending rates + higher growth in unsecured loans. However, deposit growth is running slower than credit, which may cause a concern going forward. Asset quality performance was also good – incremental gross slippages were at INR 43.7 bn vs. INR 58.3 bn. On the whole, we expect strong performance of the bank to going forward. Retain BUY with revised TP of INR 1042, upside of 15% from current levels.

Key Highlights of the results

- NII surged by 26.5% yoy to INR 147.9 bn led by continued higher growth in advances and all time margins
- Advances** grew at 22.8% yoy to INR 9385.6 bn (vs. 21.3% yoy seen in Q1FY23). Within this, domestic loans showed stupendous growth of 24% yoy. Retail loan grew by 24.6% yoy, corporate loans 23.1% yoy, business banking loans 42.6% yoy, rural loans 11.7% yoy. Within retail, mortgages (20.4% yoy), personal loans (41.4%), credit cards (68.3% yoy), two-wheeler loans (36.7% yoy) are witnessing much higher growth than previous quarters. Unsecured loans are gaining traction.

Rating	TP (Rs)	Up/Dn (%)
BUY	1,042	15
Market data		
Current price	Rs	908
Market Cap (Rs.Bn)	(Rs Bn)	6,322
Market Cap (US\$ Mn)	(US\$ Mn)	76,490
Face Value	Rs	2
52 Weeks High/Low	Rs	937 / 642
Average Daily Volume	('000)	8,384
BSE Code		532174
Bloomberg		

One Year Performance



Source: Bloomberg

% Shareholding	Sep-22	Jun-22
Promoters	0	0
Public	100	100
Total	100	100

Source: Bloomberg

Financial Summary

(Rs.mn)	FY21	FY22	FY23e	FY24e	FY25e
PAT	1,61,927	2,33,395	2,83,198	3,40,029	3,73,321
yoy (%)	102	44	21	20	10
BV (Rs)	213	245	271	319	371
ABV (Rs)	196	235	259	304	356
P/ABV (x)	4	3	3	3	2
ROE (%)	12	15	16	17	16
ROA (%)	1	2	2	2	2
Gross NPAs (%)	6	4	3	3	3
PCR (%)	78	79	76	74	76

Source: Dalal & Broacha Research, Company

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- **Margins** reached all time high levels during the quarter to 4.3% levels, 30 bps improvement on qoq basis driven by higher yields and slower rise in deposit costs. Advances yields rose by >50 bps qoq to 8.63% levels (reported) due to hike in the lending rates and also portfolio mix shifting to more towards high-yielding unsecured book viz. personal loans and credit cards. Management highlighted that going forward deposit cost is likely to rise which could result in stabilization of the margins in future.
- **On the liability side, total deposits growth** is much slower at 11.5% vs. credit growth of 22.8% levels. Term deposits growth is much slower at 11.5% vs. average CASA growth of 15-16% levels. This could be cause of worry going forward. Management reiterated that it is likely to increase the card rates of term deposits which can boost growth.
- **Core fee income growth** was healthy at 17.6% yoy . However, there was marginal treasury loss during the quarter amounting to INR 0.9 bn (vs. profit of INR 0.36 bn in Q1). Total non-interest income excluding treasury gain/losses was up by 16.8% yoy
- **Asset quality** - Gross slippages were at INR 43.7 bn vs. INR 58.3 bn. Asset quality trends at better both on retail & corporate lending segments. In % terms, gross NPLs came down to 3.2% vs. 3.4% qoq while PCR was stable at 80% levels. The bank made incremental contingent provisions of INR 15 bn during the quarter taking total provisions to INR 100 bn. Total provisions (including standard, contingent and on restructured assets) stands at 2.1% of the net advances.

Valuations

In our view, ICICI Bank is in one of the best position currently – strong balance-sheet alongwith solid PAT levers viz. margin expansion + healthy asset growth. Also, the bank being one of the large private sector banks has ability to ride on corporate credit demand revival.

On the whole, PAT is estimated to grow by 21% CAGR during FY22-24e. On the return ratio side, ROA (calculated) would grow to 2% in FY24e from 1.8% in FY22 and ROE to 16.6% from 14.7% for the same period.

It is trading at 3.0x FY24e ABV (standalone 2.4x FY24e ABV) on FY24e ROE/ROA 16.6%/2% levels. Overall the bank posted good set of results; outperformance on profitability is likely to continue going forward as well. We retain BUY rating on the stock with revised TP of INR 1042, upside of 15% from the current levels

Sum of the part valuations

	Shareholding of ICICI Bank	Valuation Per share	Valuation Criteria
Value of banking business (1)		883	2.9x FY24e ABV of Rs.
Subsidiaries			
ICICI Pru Life	51.3%	62	2x FY24e EV
ICICI Lombard	48.1%	52	35x FY24e PAT of Rs21.5 bn
ICICI AMC	30.0	42	30x FY24e PAT of Rs19.2 bn
ICICI Securities	74.9%	25	10x FY24e PAT of Rs23.3 bn
Home Finance	100.0%	2	1x FY24e ABV of Rs16.9 bn
Overseas subsidiaries		3	0.5x current FY22 BV
Total of subsidiaries		187	
Less: 15% holding co. discount		28	
Sub value post discount		159	
Total of (1) + (2)		1042	
CMP (Rs)		907	
Upside		14.9	

Source: Dalal & Broacha Research, Company

Quarterly Financials

(in Mn)	Q2FY23	Q2FY22	YoY (%)	Q1FY23	QoQ (%)	H1FY23	H1FY22	YoY (%)
Interest earned	2,60,330	2,12,336	22.6	2,36,715	10.0	4,97,046	4,16,171	19.4
-Interest/discount on advances/bills	1,99,289	1,57,381	26.6	1,76,343	13.0	3,75,632	3,07,227	22.3
-Income on investments	51,233	40,981	25.0	45,818	11.8	97,051	81,396	19.2
-Interest on bal. with RBI	3,483	2,595	34.2	4,814	-27.6	8,297	4,003	107.3
-Others	6,325	11,380	-44.4	9,741	-35.1	16,066	23,545	-31.8
Interest expenses	1,12,462	95,439	17.8	1,04,615	7.5	2,17,078	1,89,916	14.3
Net Interest Income (NII)	1,47,868	1,16,897	26.5	1,32,100	11.9	2,79,968	2,26,255	23.7
Other Income	50,549	47,972	5.4	46,652	8.4	97,201	87,930	10.5
Total income	1,98,416	1,64,869	20.3	1,78,752	11.0	3,77,169	3,14,185	20.0
Operating expenses	81,614	65,722	24.2	75,663	7.9	1,57,277	1,26,094	24.7
-Employee cost	28,885	23,846	21.1	28,492	1.4	57,377	47,590	20.6
-Other operating expenses	52,728	41,876	25.9	47,171	11.8	99,900	78,504	27.3
Operating profit	1,16,803	99,147	17.8	1,03,089	13.3	2,19,892	1,88,091	16.9
Provision for contingencies	16,445	27,135	-39.4	11,438	43.8	27,883	55,652	-49.9
PBT	1,00,357	72,012	39.4	91,651	9.5	1,92,009	1,32,440	45.0
Provision for taxes	24,780	16,903	46.6	22,601	9.6	47,381	31,170	52.0
Net profit	75,578	55,109	37.1	69,049	9.5	1,44,628	1,01,270	42.8
Equity	13,938	13,871	0.5	13,915	0.2	13,938	13,871	0.5
EPS	54	40	36.5	50	9.3	104	73	42.1
Ratios (%)								
Int. exp/Int earned (%)	43.2	44.9	-	44.2	-	43.7	45.6	-
Cost/Income ratio (%)	41.1	39.9	-	42.3	-	41.7	40.1	-
Gross NPAs (Rs)	325709	414374	-21.4	331632	-1.8	325709	414374	-21.4
Net NPAs (Rs)	60993	81610	-25.3	66562	-8.4	60993	81610	-25.3
Gross NPAs (%)	3.19	4.82	-	3.41	-	3.2	4.8	-
Net NPAs (%)	0.61	1.0	-	0.7	-	0.6	1.0	-
ROA (%)	2.1	1.8	-	2.0	-	1.5	1.5	-
CAR (%)	16.9	18.3	-	18.0	-	16.9	18.3	-
Balance Sheet (Rs.mn)								
Sources of Funds								
Capital	13,938	13,871	0.5	13,915	0.2	13,938	13,871	0.5
Reserves and Surplus	18,06,030	15,52,699	16.3	10,93,138	65.2	18,06,030	15,52,699	16.3
Deposits	1,09,00,080	97,74,486	11.5	69,62,730	56.5	1,09,00,080	97,74,486	11.5
Advances	93,85,628	76,49,374	22.7	61,33,587	53.0	93,85,628	76,49,374	22.7

Source: Dalal & Broacha Research, Company

Financials

Profit & Loss Statement (Rs. Mn)	FY21	FY22	FY23E	FY24E	FY25E
INTEREST EARNED	7,91,183	8,63,746	10,70,541	12,76,441	14,88,964
Interest/Discount on advances/Bills	5,72,888	6,38,336	7,84,561	9,52,218	11,22,924
Income from Investment	1,65,398	1,64,093	2,18,145	2,49,897	2,85,865
Interest on Balances with RBI & Others	16,319	15,608	17,554	19,018	19,336
Others	36,578	45,709	50,280	55,308	60,839
INTEREST EXPENDED	4,01,288	3,89,085	4,67,998	5,58,937	6,64,184
Interest on Deposits	3,32,563	3,00,481	3,58,484	4,27,401	5,07,324
Interest on RBI/Inter-Bank Borrowings	6,762	8,000	9,000	10,000	12,000
Others	61,963	80,603	1,00,514	1,21,536	1,44,860
Net Interest Income (NII)	3,89,894	4,74,661	6,02,543	7,17,504	8,24,779
OTHER INCOME	1,89,685	1,85,175	1,95,613	2,21,326	2,49,331
TOTAL INCOME	5,79,580	6,59,836	7,98,155	9,38,830	10,74,111
Payment to and provisions for employees	80,918	96,730	1,10,272	1,24,608	1,43,299
Operating Expenses excluding employees provision	1,34,691	1,70,603	2,04,724	2,35,432	2,87,228
OPERATING EXPENSES	2,15,608	2,67,333	3,14,996	3,60,040	4,30,526
OPERATING PROFIT	3,63,971	3,92,503	4,83,159	5,78,790	6,43,584
PROVISIONS	1,62,144	86,414	1,11,995	1,33,143	1,54,304
Provision for Non Performing Assets	1,07,991	85,664	1,00,898	1,18,002	1,37,208
Profit Before Tax (PBT)	2,01,827	3,06,089	3,71,164	4,45,647	4,89,281
PROVISIONS FOR TAXES	39,900	72,694	87,966	1,05,618	1,15,960
PAT	1,61,927	2,33,395	2,83,198	3,40,029	3,73,321
(% change)	101.9	44.1	21.3	20.1	9.8
EPS	23.4	33.6	40.7	48.9	53.7
Total Paid-Up Capital	13,834	13,900	13,900	13,900	13,900
Balance Sheet					
(Rs.mn)	FY21	FY22	FY23e	FY24e	FY25e
Application of funds					
Cash & bank balances	4,60,312	6,01,208	7,36,287	8,91,349	10,81,077
Bal. with banks and money at call & short notice	8,70,971	10,77,015	11,17,258	11,20,160	11,54,685
Advances	73,37,291	85,90,200	1,00,89,832	1,18,00,245	1,37,20,762
Investments	28,12,865	31,02,410	33,61,154	37,78,761	42,73,764
Fixed Assets	88,776	93,738	1,00,300	1,05,315	1,11,634
Other Assets	7,34,112	6,48,406	5,83,561	5,54,383	5,37,752
TOTAL ASSETS	1,23,04,327	1,41,12,977	1,59,88,392	1,82,50,214	2,08,79,673
Sources of funds					
Total Paid-Up Capital	13834	13900	13900	13900	13900
RESERVES & SURPLUS	1461227	1688556	1870184	2201838	2566785
ESOPs	31	2,664	2,664	2,664	2,664
DEPOSITS	93,25,222	1,06,45,716	1,20,47,327	1,35,73,590	1,53,98,347
BORROWINGS	9,16,310	10,72,314	12,25,144	14,75,652	17,43,457
OTHER LIABILITIES & PROVISIONS	5,87,704	6,89,828	8,29,173	9,82,570	11,54,520
TOTAL LIABILITIES	1,23,04,327	1,41,12,977	1,59,88,392	1,82,50,214	2,08,79,673

Source: Dalal & Broacha Research, Company

Ratios

(A) Efficiency Ratios (%)	FY21	FY22	FY23e	FY24e	FY25e
Int. exp/Int. earned	50.7	45.0	43.7	43.8	44.6
NII / Total Income	67.3	71.9	75.5	76.4	76.8
Other income / Total Income	32.7	28.1	24.5	23.6	23.2
Fee income / Other income	56.3	63.6	69.2	69.1	69.3
Fee income / Total Income	18.4	17.8	17.0	16.3	16.1
Cost / Income	37.2	40.5	39.5	38.3	40.1
Cost/Income (exluding trading gains)	40.8	42.4	40.3	39.1	40.8
C-D ratio	78.7	80.7	83.8	86.9	89.1
I-D ratio	30.2	29.1	27.9	27.8	27.8
Loan / Assets ratio	59.6	60.9	63.1	64.7	65.7
Deposits / Assets ratio	75.8	75.4	75.4	74.4	73.7
CASA / Total Deposits	46.3	48.7	50.6	52.2	53.6
B) Spreads (%)	FY21	FY22	FY23e	FY24e	FY25e
Yield on Assets	7.4	7.0	7.5	7.8	7.9
Yield on Advances	8.3	8.0	8.4	8.7	8.8
Yield on Investments	6.2	5.5	6.8	7.0	7.1
Cost of Funds	4.1	3.5	3.7	3.9	4.1
Cost of Deposits	3.9	3.0	3.2	3.3	3.5
Cost of Earning Assets	3.7	3.2	3.3	3.4	3.5
Net Interest Spread	3.3	3.5	3.8	3.9	3.8
Net Interest Margin	3.6	3.8	4.2	4.4	4.4
C) Solvency	FY21	FY22	FY23e	FY24e	FY25e
Gross NPAs (Rs)	4,13,730	3,39,200	3,47,835	3,84,264	4,42,963
Net NPAs (Rs)	1,18,565	69,609	85,089	99,661	1,08,375
Provisions (Rs mn)	3,21,131	2,69,591	2,62,746	2,84,603	3,34,588
Gross NPAs / Gross Advances (%)	5.6	3.9	3.4	3.3	3.2
Net NPAs / Net Advances (%)	1.6	0.8	0.8	0.8	0.8
PCR (%)	77.6	79.5	75.5	74.1	75.5
Delinquency rate(%)	2.5	2.6	2.8	2.9	3.0
Credit cost (%) (incl NPA provisions)	1.5	1.0	1.0	1.0	1.0
D) Measures of Investment	FY21	FY22	FY23e	FY24e	FY25e
EPS (Rs)	23.4	33.6	40.7	48.9	53.7
BV (Rs) (adjusted for revaluation reserve)	213.2	245.0	271.1	318.8	371.3
Adjusted BV (Rs) (adjusted for revaluation reserve)	196.1	234.9	258.9	304.5	355.7
DPS (Rs)	2.0	5.0	6.0	7.0	8.0
Avg. ROE (%)	12.3	14.7	15.8	16.6	15.6
Avg. ROA (%)	1.4	1.8	1.9	2.0	1.9
PAT / Avg. RWA (%)	2.0	2.7	6.2	51.5	56.6
Pre-tax ROA (%)	1.7	2.3	2.5	2.6	2.5
Pre-provisioning operating ROA (%)	3.1	3.0	3.2	3.4	3.3
Pre-provisioning operating ROE (%)	27.6	24.7	26.9	28.2	26.8
P/E (x)	38.9	27.1	22.3	18.6	16.9
P/BV (x)	4.3	3.7	3.4	2.9	2.5
P/ABV (x)	4.64	3.87	3.52	2.99	2.56

Source: Dalal & Broacha Research, Company

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